
Alpha Inc.

Palmetto Partners



Table of Contents

I. Executive Summary	4
II. Company Overview	5
III. Industry & Market Analysis	12
IV. Investment Thesis & Value Creation Plan	19
V. Deal Structure & Financial Analysis	24
VI. Key Risks & Mitigants	30
VII. Recommendation	33

Executive Summary



Project Alpha is a full-service Mechanical, Electrical, and Plumbing (MEP) contractor headquartered in Greenwood, MS, generating ~\$168M in revenue across four divisions servicing hospitals, schools, and industrial clients throughout the Sunbelt

Why Now

1

Favorable timing, supported by Sunbelt-driven construction growth, expanding data center demand, and aging infrastructure

Value Creation

2

Established scalable M&A platform, expanding across high-growth Sunbelt market, and margin expansion through BIM utilization

Why Private Equity

3

Service-heavy revenue mix creates stable cash flows, underpinned by a strong economic moat built through size and horizontal integration

Returns

4

At an entry/exit valuation of 7.5X EBITDA, returns are supported through margin expansion and deleveraging over the hold period, resulting in a projected 24% IRR and 2.9x MoM

This Investment offers defensive recurring revenue with multiple clear value creation paths



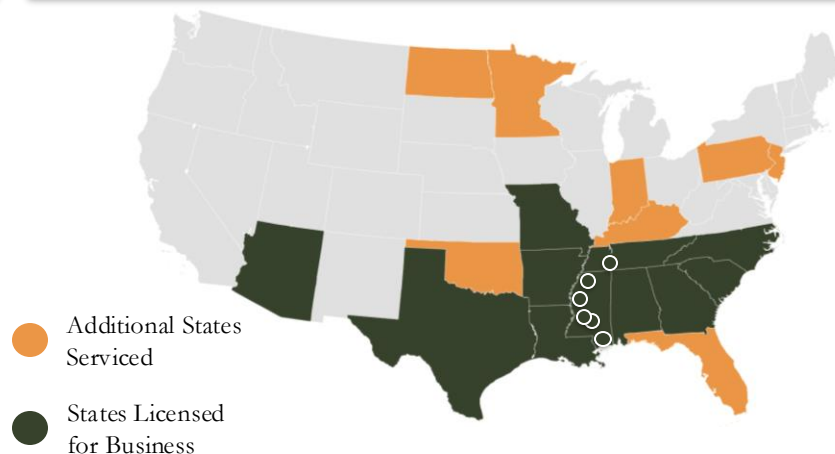
II. Company Overview

Business Description

Company Profile

- Full-service MEP contractor - designs, installs, and services HVAC, plumbing, and electrical systems for commercial, industrial, and institutional buildings
- Among very few regional providers offering full MP&E scope at this scale in the Mississippi/Sunbelt region
- 78% of FY2022 revenue is retrofit, replacement, and service-related work
- \$70M+ bonding capacity and 26-year average management tenure create customer relationship and operation depth competitors cannot quickly replicate

Geographic Breakdown



Company Profile

Founded:
1970

Headquarters:
Greenwood, MS

Offices:
MS (6), TN, FL

Employees:
525+

LTM Revenue:
\$168.2M

Adj. EBITDA:
\$28.7M(17.1%)

Financial Overview

	2019A	2020A	2021A	2022A
Revenue	\$118,285	\$101,821	\$125,403	\$168,194
<i>% Growth</i>		(13.9%)	23.2%	34.1%
Less: COGS (excl.D&A)	(89,528)	(78,440)	(93,980)	(121,710)
Gross Profit	\$28,757	\$23,381	\$31,424	\$46,484
<i>% Margin</i>	24.3%	23.0%	25.1%	27.6%
Less: SG&A	(13,323)	(13,917)	(18,002)	(19,308)
Less: D&A	(973)	(1,043)	(1,043)	(982)
Less: Ammortization of Intangibles Writeup	--	--	--	--
EBIT	\$14,461	\$8,421	\$12,378	\$26,194
Less: Tax Expense	--	--	--	--
EBT	\$14,461	\$8,421	\$12,378	\$26,194
Less: Interest Income / (Expense)	(72)	(37)	(34)	101
Less: Other Income / (Expense)	201	1,603	8,020	2,350
Less: Gain / (Loss) on Sale of Assets	48	39	38	(1)
Net Income	\$14,638	\$10,025	\$20,403	\$28,644

Business Description



Backlog:
\$121M

Bonding capacity:
\$70M+

Type:
Majority
recapitalization

Seller rollover:
10-20%

Entry multiple:
7.5x

Diversified, Non-Cyclical End Markets

	Healthcare		Education
	Industrial		Government

Business Model

1

Win a low-margin planned maintenance agreement

2

Become the customers ongoing service provider

3

Capture high-margin retrofit, replacement, and maintenance work

Tenured, Aligned Management

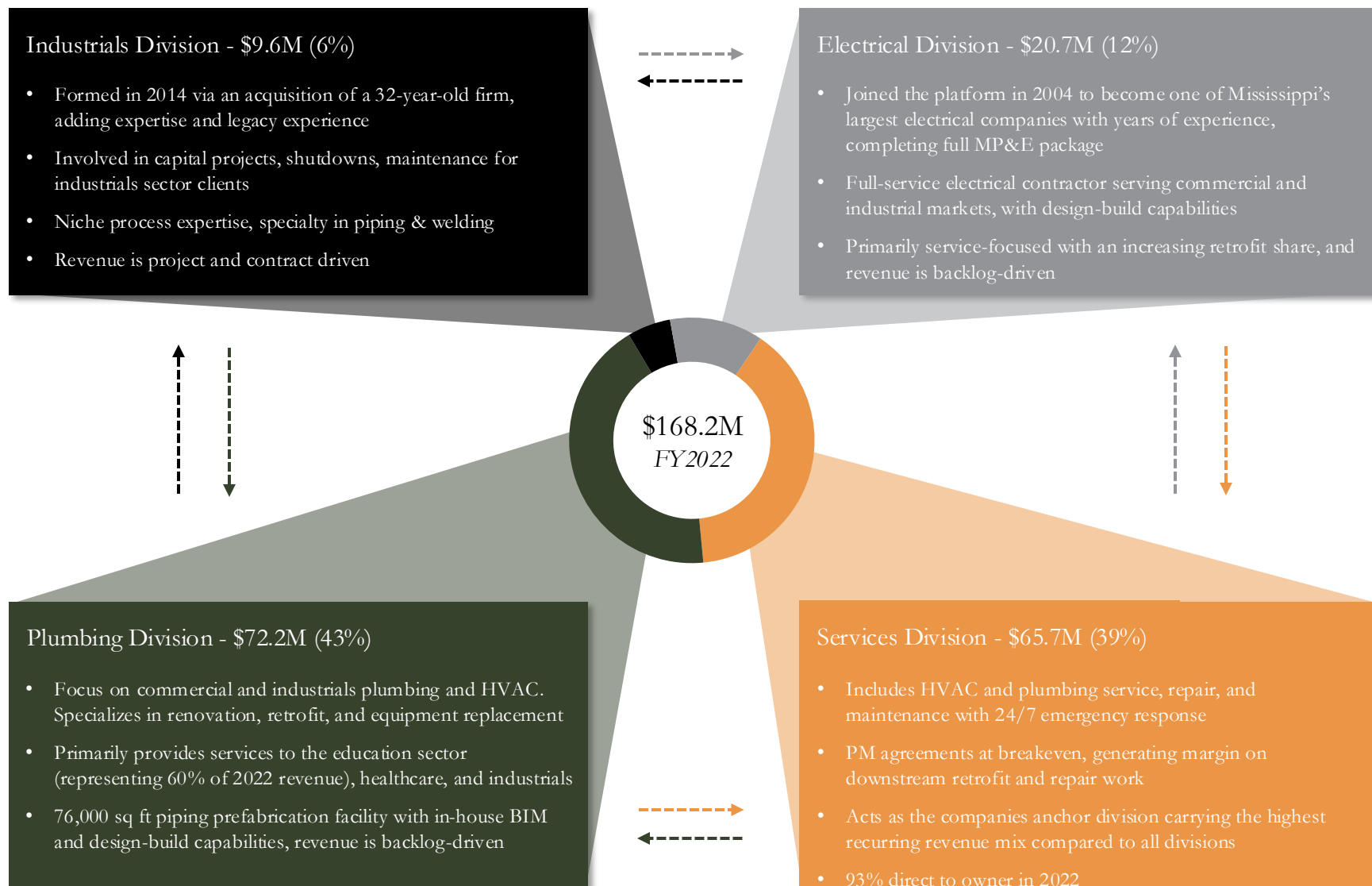
26-year average management tenure; founding family retains 10-20% equity post-transaction

Robbie Upchurch - President		46 Years
Mike Upchurch - Vice President		44 Years
David Upchurch - Treasurer		39 Years
Cindy Hawkins – Secretary		37 Years

165+
Years of
Experience

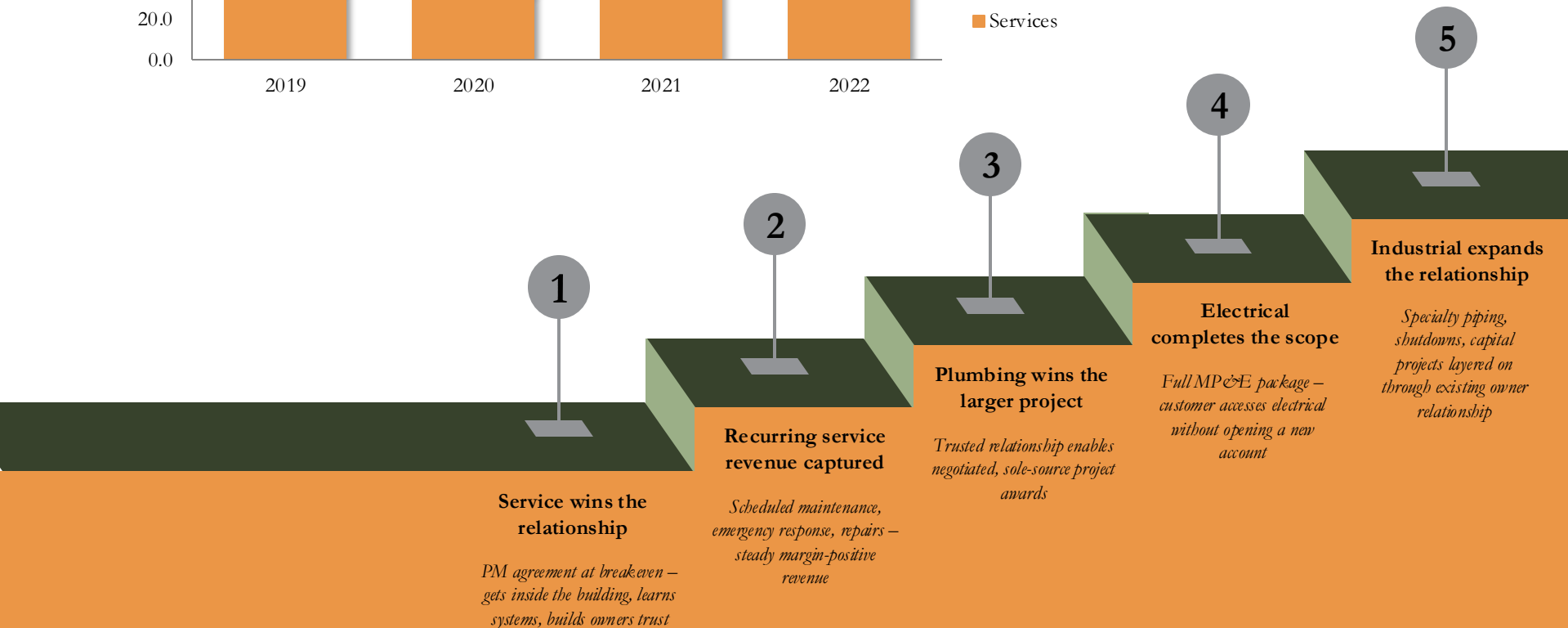
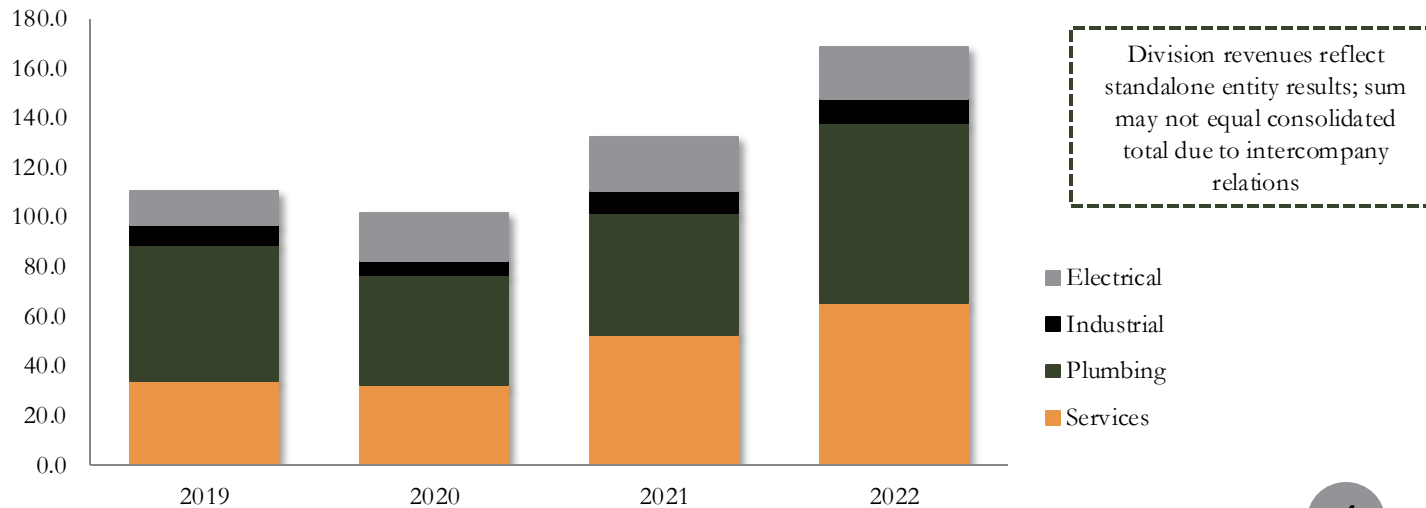


Products & Services



For Divisions, One Integrated Platform

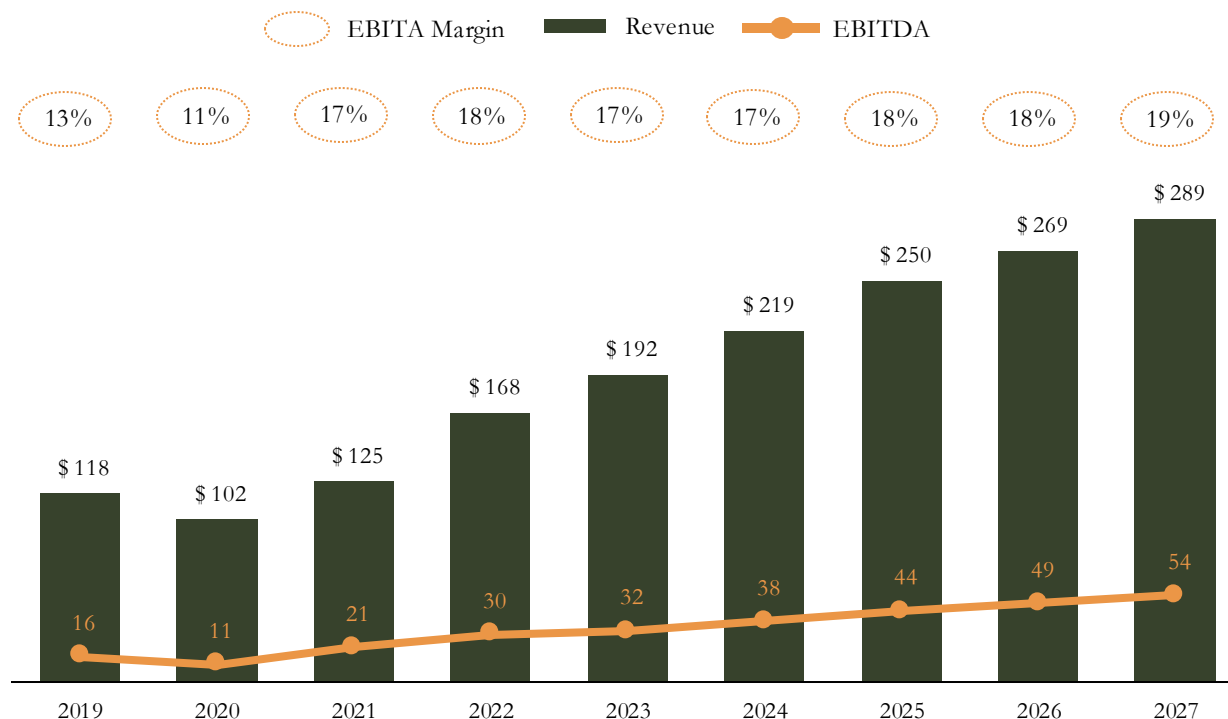
Revenue By Division, 2019-2022 (\$M)



Durable Revenue Growth with Structural Margin Expansion

Consistent revenue growth with expanding margins demonstrates operational leverage and recession resilience

Revenue & EBITDA Growth (\$M)



Commentary

- Revenue grew from \$118M to \$168M (FY19-FY22) at a 12% annual growth rate, supported by diversified service lines and long-term customer relationships
- EBITDA nearly tripled from \$11M to ~\$30M (FY20-FY22), nearly tripling while revenue grew 22% over the same period
- Margins expanded from 13%-18% as management shifted toward repair and service work – 78% of FY2022 revenue is retrofit, replacement, and service – as Alpha deprioritizes low-margin new construction

Customer concentration:

No single customer >15% of revenue in any year; different #1 customer each of the last four years

CapEx:

Primarily vehicles and equipment across all divisions; maintenance-driven and recurring in nature

Safety Rating (EMR):

Service division EMR consistently 0.67-0.83 over 10 years (industry avg: 1.0); all divisions trending below – supports bonding capacity and institutional bid eligibility

Competitive Positioning

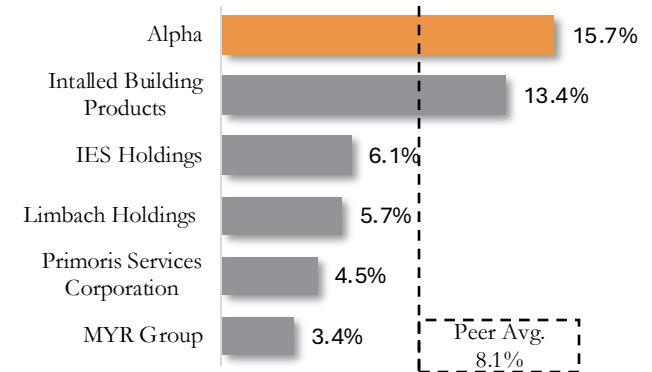
Alpha is one of the largest full-service MEP contractors in MS and TN – with structural advantages that regional competitors cannot replicate

Capability Comparison VS. Regional Peers

Capability	Alpha	Comp A	Comp B	Comp C
BIM / Prefab	✓	✓	—	—
In-house sheet metal	✓	✓	—	—
Commercial HVAC + plumbing	✓	✓	✓	—
Industrial HVAC + plumbing	✓	✓	—	—
Commercial + industrial elec	✓	—	—	✓
Millwright + controls	✓	—	—	—
Residential plumbing svc	✓	—	—	—

Competitors anonymized per CIM. Full 16-capability matrix in appendix.

FY2022 Operating Margin VS. Peers



One contractor, every trade

- Only regional contractor offering all 16 MEP capabilities in-house – competitors check 4-8 boxes on the same matrix
- Full in-house capability eliminates the need for a general contractor intermediary – reducing owner cost and deepening Alphas direct relationships

Direct-to-owner model

- Services division shifted from 80% to 93% direct-to-owner, 2019-2022 – owners bypassing general contractors to come directly to Alpha
- Industrial division ran at 84-94% direct-to-owner across the same period, reflecting deep relationship capital in a high-trust sector

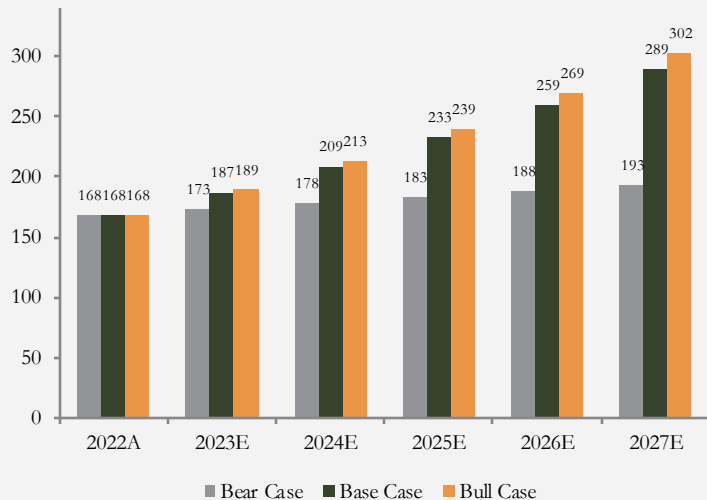
Margin discipline

- Management explicitly selects on the most profitable or relationship-enhancing jobs – protecting margin over volume
- 15.7% operating margin is nearly 2x the peer average of 8.1%

III. Industry & Market Analysis

Market Direction & Growth

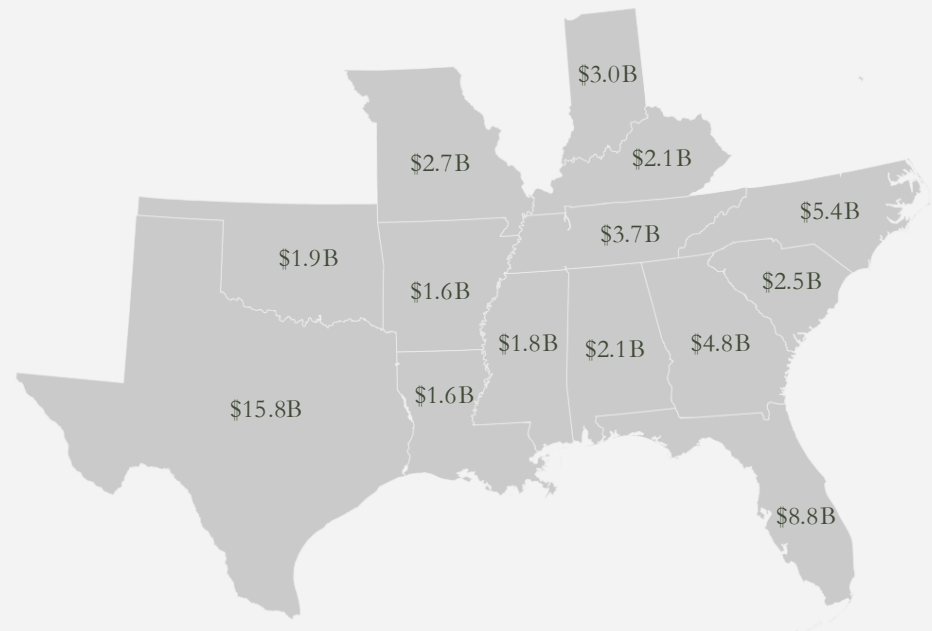
Predicted Alpha MEP Revenue Growth (\$mm)



“The industry has already taken note as agreements between vendors and end users shift toward long-term relationships and multi-functional bundled contracts rather than single service or basic manpower. MEP growth here as bar chart with figures”

CIM (Pg.95)

National Infrastructure Investments by Congress



- During the Covid-19 pandemic, Congress pushed legislation to support local governments as part of the overall American Rescue Plan
- A significant portion of the State and Local Fiscal Recover Funds (SLFRF) will be directed towards infrastructure projects including water, sewer, and internet
- In addition, the Treasury Department is providing additional funds to every county within the highlighted states
- In total, over \$57.8 Billion will be distributed and Alphas horizontally integrated business model and cross selling opportunities enable them to benefit materially

Market Sizing

MARKET OPPORTUNITY (2022A)

TAM — US MEP Services

Total US mechanical, electrical & plumbing

\$29.4B

SAM — Southeast US

MS, TN, AR, AL, LA, GA + adjacent SE states

~\$4.4B

Alpha Today (2022A)

~3.8% share of SAM

\$168M

5-YEAR REVENUE TRAJECTORY (2022A → 2027E)

All inputs linked with LBO, DCF, and Three Statement

BEAR

\$193M

2027E Revenue

Assumptions

Revenue	2.8%
Margin	10.9%
SAM Share	2.5%

'27E EBITDA

\$24M

DCF terminal growth; 2020 COVID margin low

BASE

\$289M

2027E Revenue

Assumptions

Revenue	11.4%
Margin	16.2%
SAM Share	3.8%

'27E EBITDA

\$47M

Ties directly to LBO sheet projections

BULL

\$302M

2027E Revenue

Assumptions

Revenue	12.5%
Margin	17.6%
SAM Share	4.0%

'27E EBITDA

\$53M

Historical 2019-22 CAGR; 2022 margin high

WHY THIS WINDOW MATTERS

DEFENSIBLE SIZING

Every scenario input links to our LBO, DCF, or Three Statement

SUNBELT TAILWIND

SE non-residential construction grew 8.3% YoY in 2023 vs. national — Alpha sits in the fastest-growing region.

ROLL-UP RUNWAY

Even the bull case leaves Alpha at 4.0% of a single region's MEP spend which has massive fragmented runway remains.

RECESSION DEFENSE

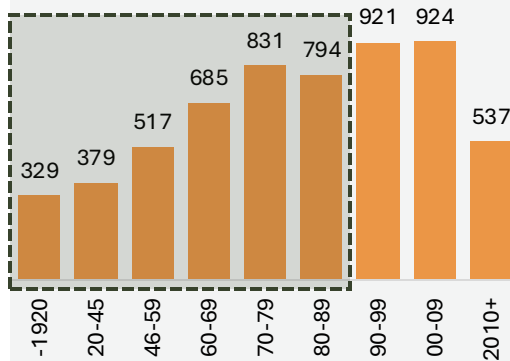
Bear case floor ties to 2020 COVID historical low the worst margin Alpha has ever posted. Also historic negative for almost every industry

Growing Opportunities

Aging Building Life

- Much of today's commercial building was built before modern technology standards existed
- The average age of a main instructional building in the U.S. is 49 years

60% of Construction Before 1990



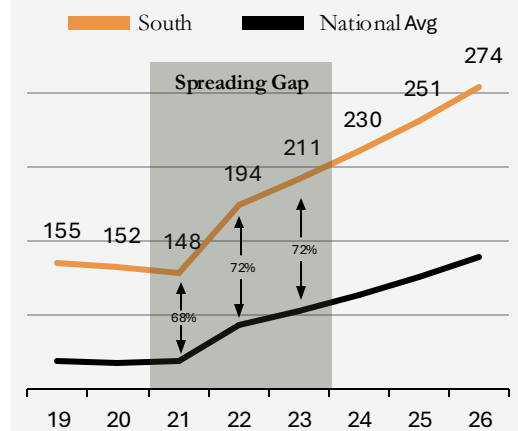
Data Centers

- The U.S. makes up 40.0% of the world's data center construction market as of H2 2022
- Texas and Virginia were the top states for data center construction investments

“Complete electrical installation, including parallel services, UPS systems, and normal/emergency power. Contract Amount: \$2,830,000”
CIM (Pg.78)

Sunbelt Migration

- Sunbelt has the largest U.S. migration inflow in the entire country with a ~1.4% annual population growth
- South's non-residential construction spending is ~70% higher than U.S. avg

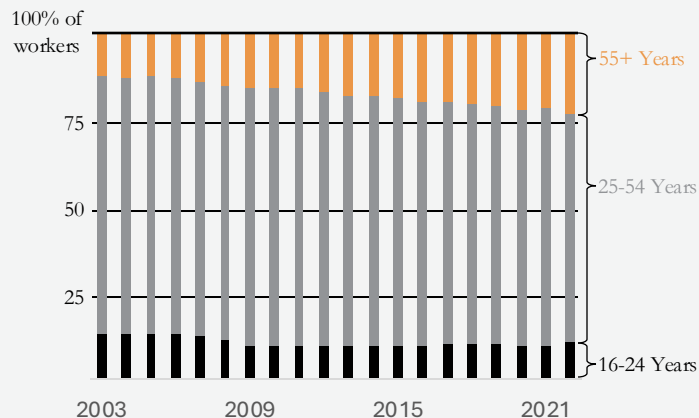


Industry Headwinds

Labor

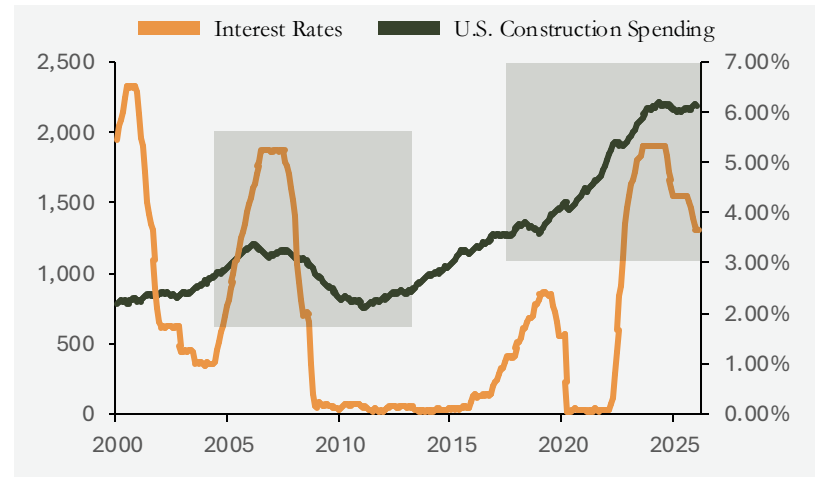
- Labor shortages across MEP trades remain a widespread national issue, with electricians, HVAC, and plumber's experiencing the greatest supply constraints
- The imbalance is being driven mainly by elevated retirement rates among experienced trades people, and the lack of apprenticeship replacement
- Contractors with established labor networks and geographic density are increasingly advantaged, as access to skilled labor is a critical differentiator

Construction Workers are Getting Older

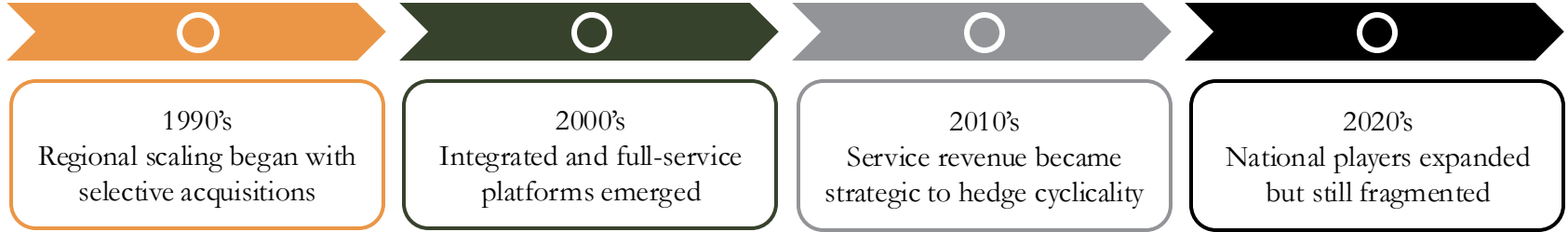


Interest Rates

- Elevated interest rates continue to pressure private construction plans by increasing borrowing costs and reducing potential returns
- These increased financing cost have led many developers and owners to re-evaluate projects and start dates even under constant demand
- For MEP contractors, these delays will drive lower labor utilization, push revenue recognition into later periods, and compress margins as fixed cost remain steady



Competitive Landscape



“Additionally, managers will look to extend the life of assets through increased service as opposed to replacement in an effort to save on costs in this inflationary environment.”

CIM (Pg.95)

Industry Fragmentation

Consolidated

- The large national competitors operate at the engineering and design level – not direct competitors to regional MEP contractors
- Majority regional competitors include single disciplinary contractors and smaller full services firms
- Consolidation is accelerating (e.g. Huron Acquisition of GFS in Oct 2023), suggesting high demand and liquid exit market

Fragmented

Industries Largest Competitors

Electrical

Mechanical



Plumbing

Regulatory Environment

1

Licensing

- MEP contractors must hold state-specific licenses for mechanical, electrical, and plumbing work
- Expansion across states require new licenses, creating a meaningful barrier to entry
- Multi-state operators benefit from established and extensive licensing

2

Building Codes

- The main regulators include the National Electrical Code, International Plumbing Code
- State/local jurisdictions carry their own mechanical codes
- 65% of MEP firms in the U.S. were not in compliance with the National Electrical Code (NEC)

3

Bonding

- Bonding refers to third-party financial backing to guarantee work and obligations
- Any government and institutional project requires performance and payment bonds
- Companies with larger scale and have the capacity to provide superior bonding capacity

4

OSHA

- EMR measures a contractor's workers' compensation claim history
- Above a certain EMR, contractors are not allowed to work on certain projects
- Low EMR reflects strong safety performance and improves eligibility for institutional projects

IV. Investment Thesis & Value Creation Plan

Investment Thesis

\$168.1M
LTM Revenue

16.7%-18.7%
EBITDA Margin

78%
Recurring Revenue

7.5x
Entry Multiple

24%
Target IRR

2.9x
MoM

5 year
Hold Period

\$47M
Exit EBITDA

Value Creation Through Three Key Levers

Organic Growth

- BIM & Prefabrication rollout
- Geographic market expansion
- Wallet share in existing accounts

Margin Improvement

- Prefab drives labor efficiency
- Service mix shift vs. project
- Procurement scale benefits

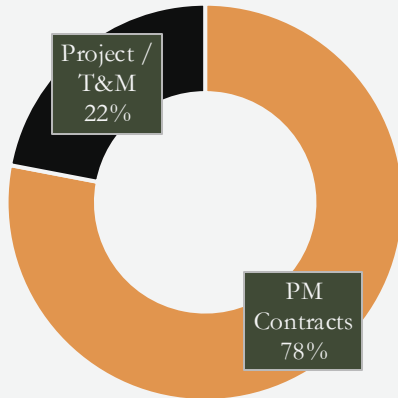
M&A Consolidation

- Fragmented regional market
- Platform with integration depth
- Multiple arbitrage on exits

Alpha is a \$204M majority recapitalization of a capital-light, full-service MEP contractor with a defensible revenue base that insulates the business against construction cyclicality. Margin expansion from BIM/prefab adoption, combined with Sunbelt infrastructure tailwinds (data centers, industrial migration), creates an organic EBITDA growth path from 16.7% to 18.7%+. At 7.5x entry, Alpha offers a fragmented-market consolidation platform with a defined path for growth.

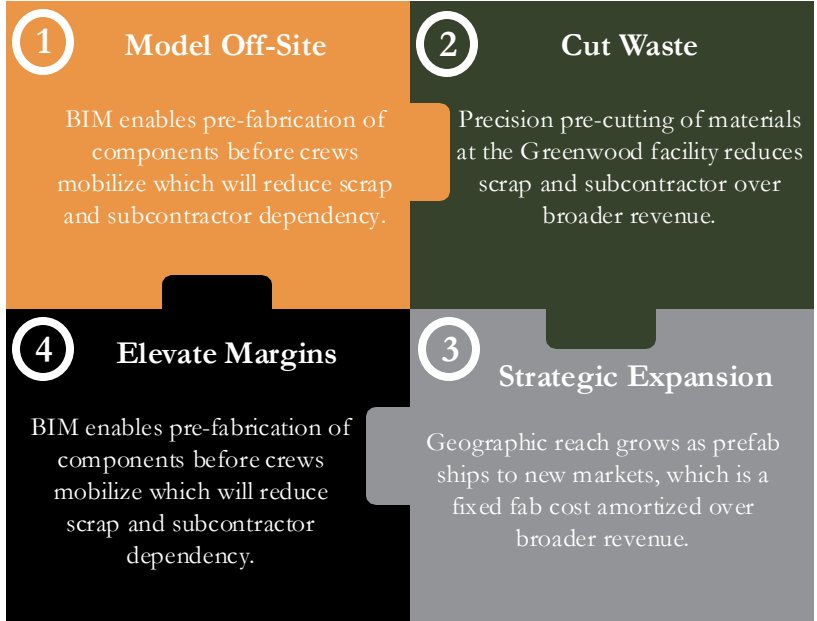
Recommend: Defensive Revenue Base & Margin Expansion via BIM/Prefab

Structural not Cyclical Revenue

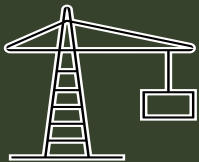


Over 3/4th of Alpha's revenue is from locked-in product management contracts that last for the entire lifetime of their products.

Solving the Puzzle of Margin Catalysts



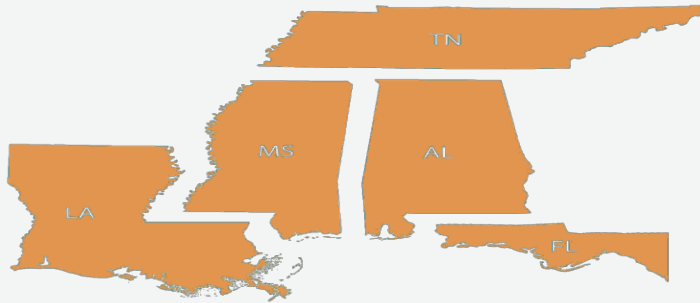
Owned Asset: Greenwood Facility



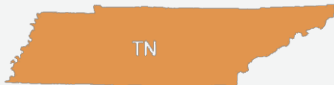
In Greenwood, Mississippi, where Alpha was founded and headquartered, Alpha has its own in-house sheet metal fabrication. This reduces on subcontractors, enables prefab at scale, and creates a durable cost advantage competitors cannot easily replicate. This allows for efforts to be focused on margin expansion and increasing the BIM mix rather than reworking a production plan or managing supply chain issues that inevitably arise.

Recommend: Geographic Expansion into Adjacent Sunbelt Markets

Target Area



\$15-20M new geographic revenue by Year 3



110 active projects in pipeline in Memphis.



\$7B+ being spent on major projects in New Orleans metropolitan area.



224 new projects generating capital as of 2023.

Why this Region?

Federal Spending

Multi-year MEP-intensive projects with hospitals, schools, and government facilities in the region.

Population Migration

Corporate relocation and residential growth generate sustained MEP demand in target metros.

Data Centers

Favorable land costs, power rates, and fiber build-out attracting data centers for MEP-intensive projects.

Proof: Energy Data Center, Jackson, MS

Alpha recently completed a successful project with Energy Data Center in Jackson, Mississippi. Testament to both the region's growth in the space, but also Alpha's abilities. This project demonstrates replicable MEP capability in a high-complexity, high-margin vertical as the Southeast emerges as a data center hub.

Recommend: M&A Platform / Buy-and-Build

Past, Present, and Future of Alpha's M&A

2004

Alpha acquired an electrical contractor, layered onto existing service model and PM agreement platform.

2014

Alpha later acquired an industrial contractor, expanding their scope into industrial MEP and has had successful integration.

Now

With Palmetto backed sourcing and diligence methodologies, Alpha could be positioned for new add-ons to unlock value.

Quickly Unlock Value for Alpha

4x

Acquisition entry
~\$4M cost for ~\$1M EBITDA

7.5x

Platform re-rate
EBITDA now worth ~\$7.5M

~\$3.5M

Value created
before any operational improvement.

Potential Acquisitions



Standard Heating and AC is an 85-year operating business that specializes in AC, heating, plumbing, and water heater installation and maintenance.

Headquartered in Birmingham, Alabama, Standard has expanded their reach through all of Birmingham and other parts of central Alabama. Standard fits in perfectly with Alpha's current operations and geographics.



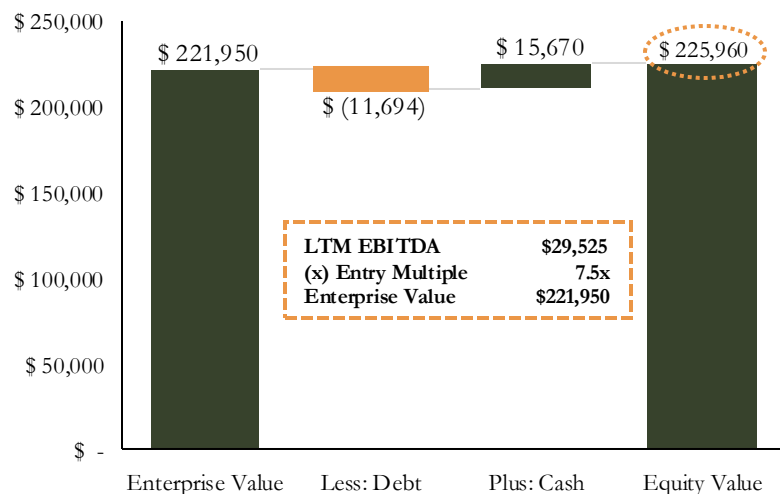
Cajun Electric has been a leader in both residential and commercial electric work for over 15 years. Headquartered in Baton Rouge, Louisiana, Cajun

Electric is known for their high-quality service and their lighting showroom, unlocking new synergies by combining electric maintenance with household decorations, an exciting new opportunity for Alpha.

V. Deal Structure and Financial Analysis

Entry Deal Structure

Purchase Price



Sources & Uses

Sources

Term Loan A	\$59,050
Senior Note	29,525
PIK Debt	29,525
Management Equity	24,925
Sponsor Equity	99,702
Total Sources	\$242,727

Uses

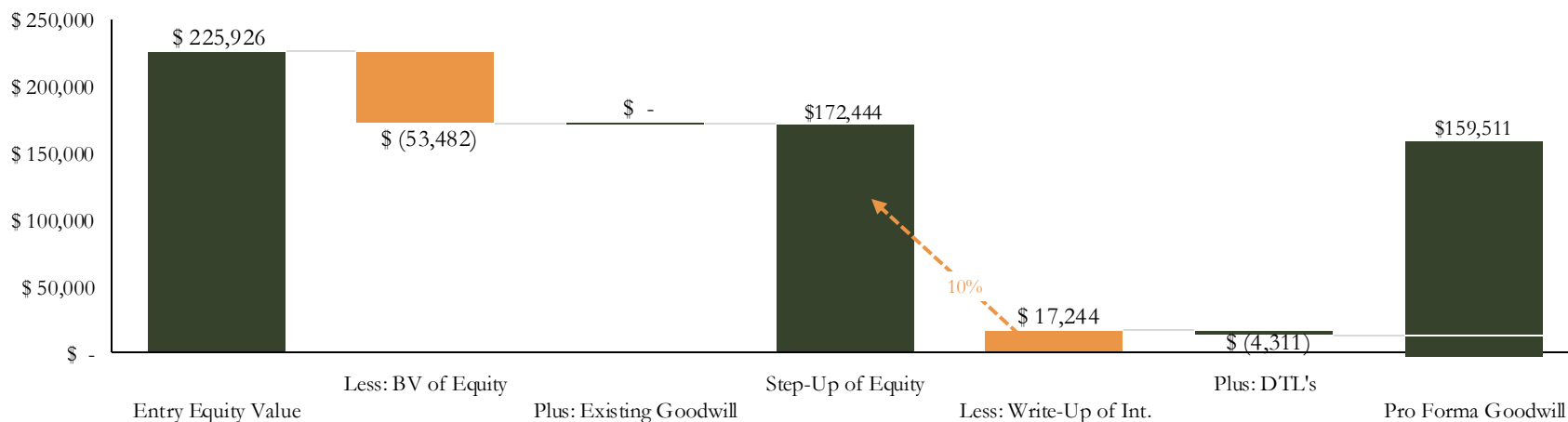
Entrey Equity Value	\$225,926
Refinanced Debt	--
Transaction Expense	4,439
Financing Fees	2,362
Cash to B/S	10,000
Total Uses	\$242,727

Capitalization Table

Capitalization Table Security	Investment Terms & Details	Post-Close Structure	% of Capital	(x) EBITDA Multiple	Attach Rate	Detach Rate
Cash		\$ 25,670				
Revolving Credit Facility	S+300bps; 1.00% Floor	-			-	1.7
Term Loan A	S+300bps; 1.00% Floor	59,050	24%	2.0x	1.7	3.70
Senior Note	Fixed Rate 10.0%; Callable Y1 105%	29,525	12%	1.0x	3.7	4.70
PIK Debt	Fixed Rate 13.5%	29,525	12%	1.0x	4.7	5.70
Total Debt		\$118,100	49%	4.0x	-	5.70
Management Equity	Rollover 20.0%	24,925	10%	0.8x	-	-
Sponsor Equity		99,702	41%	3.4x	-	-
Total Equity		\$ 124,627	51%	4.2x	-	-
Total Capitalization		\$ 242,727	100%	8.2x	-	-
LTM EBITDA		\$ 29,525				

Pro-Forma Adjustments & Balance Sheet

Goodwill Calculation



Pro-Forma Balance Sheet

Assets

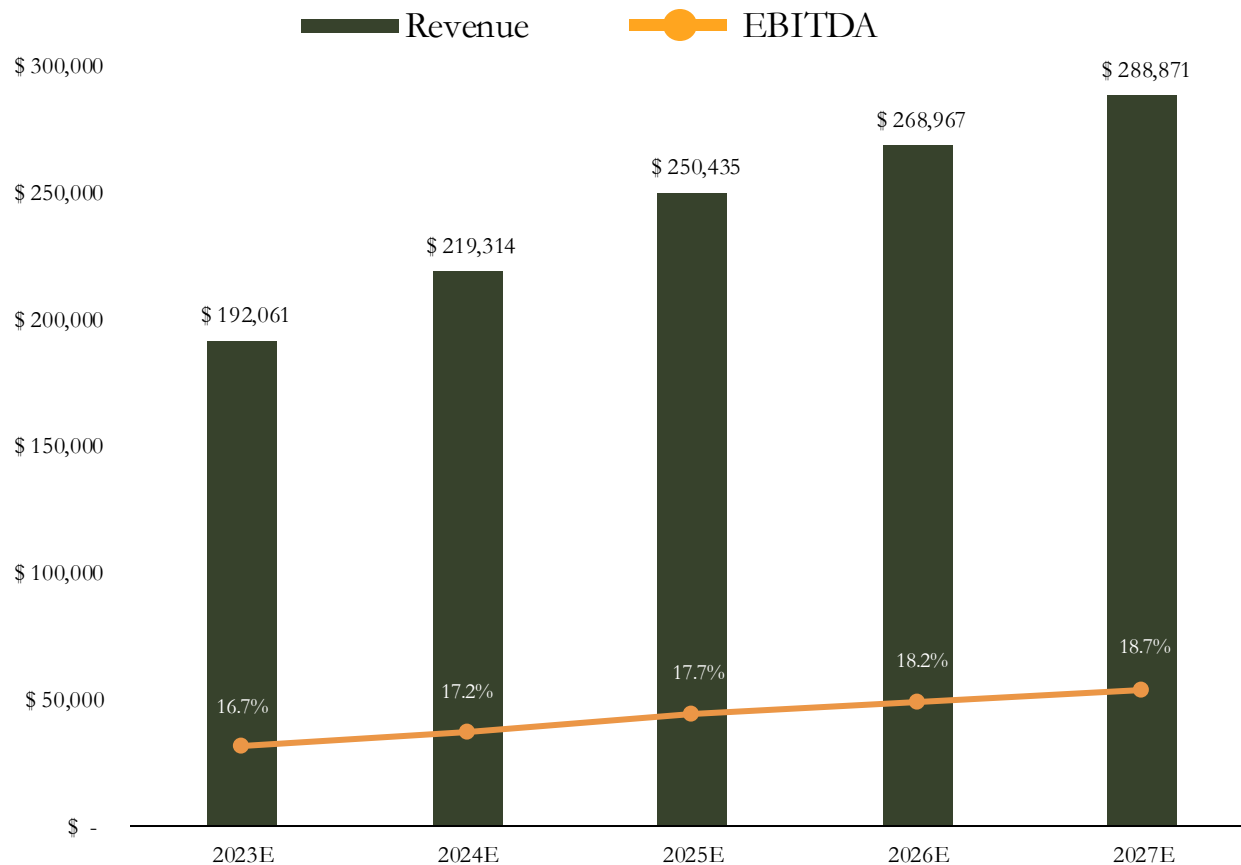
Cash & Equivalents	25,670
Accounts Receivable (net)	40,166
Employee accounts receivable	96
Other receivables	1,863
Inventory	1,605
Intercompany/related party	5,597
Contract assets	1,861
Prepaid expenses	375
Total Current Assets	\$ 77,233
PP&E Net	6,018
Other Assets	178,667
Total Assets	\$ 261,917

Liabilities

Accounts payable	9,238
Accrued and withheld expenses	701
Current portion of long-term debt	46
Notes payable - PPP	118,100
Contract liabilities	8,666
Total Current Liabilities	\$ 136,752
Non-current Liabilities	666
Deferred Tax Liability	4,311
Total Liabilities	\$ 4,311
Stockholders' Equity	120,188
Total Liabilities & Stockholder's Equity	\$ 261,917

Financial Forecast & Margins

Forecast & Commentary



Commentary

- Revenue grows at a CAGR of 11.0% representing a 3.8% share of the total service market for mechanical, electrical, and plumbing contractors
- BMI implementation will drive slight margin expansion, against increasing labor costs
- Net income in *FY2023* is projected to be 7.0% and grow and additional 1.0% per year until *FY2027*

Gross Profit Margin : 27.6% Net Income: 7%; increasing 1% annually

Exit Calculations & Strategy

Exit Strategy



Market Cap: \$56.03 Billion

Enterprise Value: \$55.3 Billion

Revenue: \$9.1 Billion

EBITDA: \$1.5 Billion

Acquisition of MEP Holding Co.

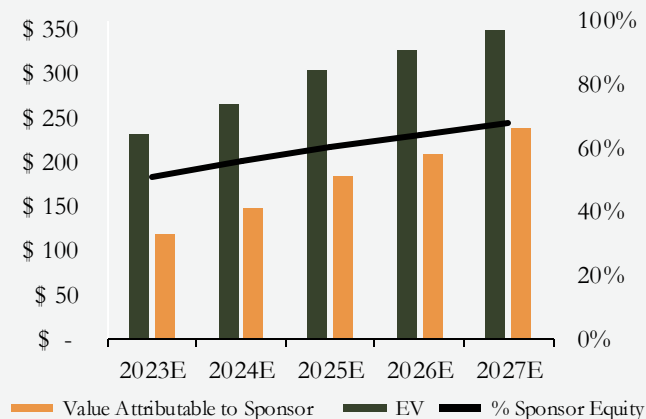
- In January of 2022, Comfort Systems USA acquired MEP Holding Co.
- At time of acquisition, the business was expected to contribute ~\$90M of annual revenue and \$6M-\$8M of EBITDA
- This Expanded Comfort Systems' footprint and technical capabilities

Acquiring Alpha Inc.

- Unlucky immediate Southeast expansion with strong regional density
- Revenue profile highly attractive due to high % of retrofit, replacement, and service revenue
- Horizontally integrated business model with full MEP service, prefabrication infrastructure, and large employee base

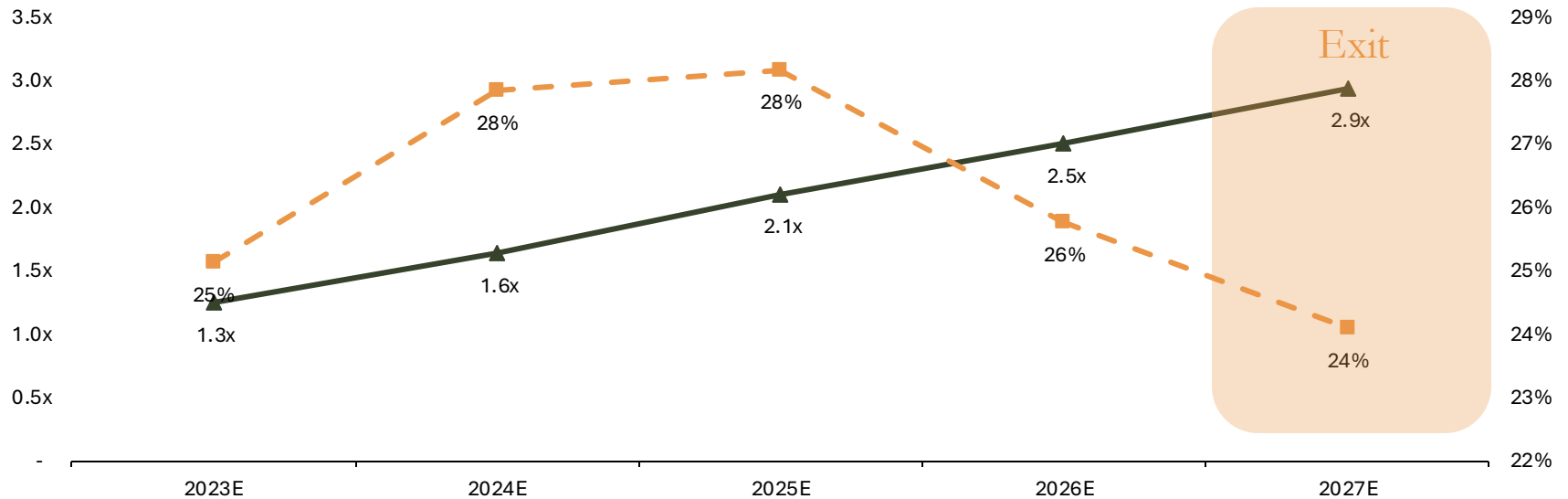
Exit Calculations

	2023E	2024E	2025E	2026E	2027E
LTM EBITDA	\$32	\$38	\$44	\$49	\$54
(x) Exit Multiple	7.5x	7.5x	7.5x	7.5x	7.5x
Enterprise Value	\$240	\$282	\$332	\$366	\$404
Less: Net Debt	(\$84)	(\$78)	(\$69)	(\$54)	(\$37)
Equity Value	\$156	\$204	\$263	\$312	\$367
% Sponsor Equity	80%	80%	80%	80%	80%
Sponsor Equity Value	\$125	\$163	\$210	\$250	\$293



Return Over Time & Sensitivity Analysis

Return Over Time



Sensitivity Analysis

IRR

Entry Multiple	Exit Multiple				
	6.5x	7.0x	7.5x	8.0x	8.5x
6.5x	27.4%	29.5%	31.4%	33.3%	35.1%
7.0x	23.5%	25.6%	27.5%	29.3%	31.1%
7.5x	20.3%	22.3%	24.2%	26.0%	27.6%
8.0x	17.5%	19.5%	21.3%	23.0%	24.7%
8.5x	15.0%	17.0%	18.8%	20.5%	22.1%

MoM

Entry Multiple	Exit Multiple				
	6.5x	7.0x	7.5x	8.0x	8.5x
6.5x	3.3x	3.6x	3.9x	4.2x	4.5x
7.0x	2.9x	3.1x	3.4x	3.6x	3.9x
7.5x	2.5x	2.7x	2.9x	3.2x	3.4x
8.0x	2.2x	2.4x	2.6x	2.8x	3.0x
8.5x	2.0x	2.2x	2.4x	2.5x	2.7x

VI. Key Risks & Mitigates

Related-Party Structure & Financial Transparency

Four arrangements identified in the CIM remained unresolved, each of which could affect the accuracy of reported profits or create obligations that surface after close

Risk



Equipment & Vehicle Leases



The company rents trucks and equipment from family-owned LLCs at prices the family controls – if those prices are off-market, reported operating cost are distorted



Real Estate Occupancy Costs



The family owns the building the company operates out of across most of its locations – occupancy cost in the financials may not reflect what an independent landlord would actually charge



Retained Construction Office



The seller are retaining 6,450 square foot construction office directly adjacent to the Electrical divisions main office in Jackson, MS – the CIM provides no explanation of what it will be used for post close



Unquantified ERC Credits



The sellers are retaining ERC credits the CIM describes as ‘substantial’ but never quantifies – unquantified tax exposure that could surface after close

Mitigant

Independently Assess Lease Rates Pre-Close

Commission an independent assessment of all truck and equipment rental rates before close – use the findings to adjust deal pricing or renegotiate lease terms accordingly



Verify and Protect Occupancy Costs

Commission an independent real estate assessment before close – if rates are above market, renegotiate; if below, lock in long-term lease agreements to protect the buyer from future rent increases



Restrict Post-Close Use

Require seller to define the intended use of the retained office before close – include non-compete and non-solicitation provisions in the purchase agreement to prevent overlap with the acquired business



Require Disclosure and Indemnification

Require sellers to disclose the exact ERC amount before close and sign an indemnification agreement – contractually obligating them to cover any future IRS repayment demands



In addition to the above, a Quality of Earnings report will be commissioned pre-close to independently verify all related-party economics across the business

People & Market Risk

Four risks identified across leadership dependency, workforce availability, and market cyclicalities

Risk



Client Relationship Dependency



Client relationships are anchored to the Upchurch family – Roy Collins Construction noted: “if the Upchurches tell you something, you know it will be done correctly.” No institutional mechanism exists to retain these accounts if any Upchurch exits post-close



Operational Knowledge Risk



166 combined years of operational knowledge resides with the Upchurch family – while division managers exist, none are formally identified as successors. An unplanned departure by any principal would leave critical operational roles without a defined continuity plan



Skilled Labor Shortage



The MEP contracting industry faces a structural skilled trades shortage driven by an aging workforce and declining entry of young workers – creating a persistent hiring challenge for field labor across all four divisions



Interest Rate Sensitivity / Cyclicalities



A portion of MEP revenue is tied to new construction starts, which are sensitive to interest rates – with the Fed funds rate at a 22-year high in 2023, project divisions face meaningful cyclical headwinds on its construction-exposed revenue

Mitigant

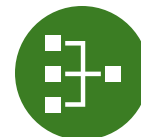
Transition Client Relationships

Use the hold period to systematically transition client relationships from the Upchurch family to division-level managers, reducing single-name dependency before exit.



Retain & Develop Successors

Negotiate employment agreements with all four Upchurch principals as a closing condition, buying time to develop division-level managers into operational successors



In-house Apprenticeship Pipeline

The company operates a formal apprenticeship program through MCEF, actively recruiting from Mississippi State University and local community colleges to build a pipeline of trained field labor



Recurring Revenue Buffer

78% of revenue is derived from recurring repair and maintenance work, providing structural insulation against construction cyclicalities – new construction represents a minority of the overall revenue base



Each risk is mitigated through a combination of existing business model characteristics and structural closing conditions negotiated as part of the transaction

VII. Recommendation



✓ Acquire Alpha

Acquire a high quality, recession-resilient MEP platform with a growing share of recurring revenue and 50-year track record

You're acquiring a platform with real bolt on opportunities in a highly fragmented industry generating a 24% IRR with a risk averse approach

✓ Perform Diligence

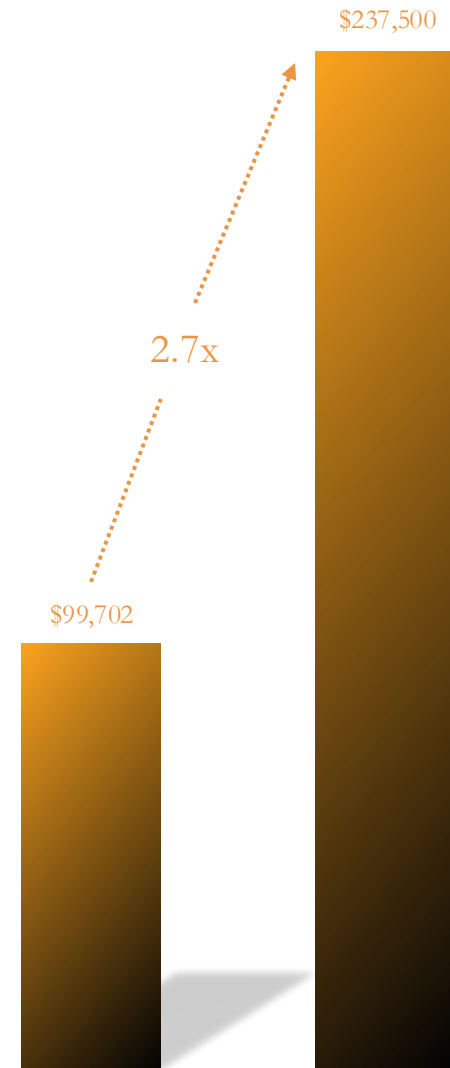
Hire a third-party accounting firms to perform a Quality of Earnings report to test EBITDA sustainability and

Negotiate and finalize all long-term agreements with Upchurch family members and validate recurring revenue stickiness

✓ Launch Value Creation

Deploy in-house Building Information modeling and prefabrication capabilities at scale to reduce on-site labor hours and reduce waste

Extend existing footprint into new states where the firm is already licensee and aim to capture new data center projects



Appendix

Full capability matrix - Alpha vs. regional competitors

Alpha checks all 16 capability boxes. Nearest regional competitors check 4–8. Source: Company websites. Competitor identities anonymized per CIM.

Capability	Alpha	Comp A	Comp B	Comp C	Comp D	Comp E	Comp F	Comp G	Comp H
BIM Capabilities	✓	✓	—	—	—	—	—	✓	✓
Prefab Capabilities	✓	✓	—	—	—	—	—	✓	✓
Commercial Plumbing	✓	✓	✓	—	—	—	✓	—	—
Commercial HVAC	✓	✓	✓	—	—	—	✓	—	—
Industrial Plumbing	✓	✓	✓	—	—	—	—	✓	✓
Industrial HVAC	✓	✓	✓	—	—	✓	—	—	—
In-house Sheet Metal	✓	✓	✓	—	—	—	—	—	—
Commercial Electrical	✓	—	—	✓	✓	—	—	—	—
Industrial Electrical	✓	—	—	✓	✓	—	—	—	—
HVAC Commercial Service	✓	✓	✓	—	—	✓	✓	—	—
Plumbing Commercial Service	✓	—	✓	—	—	—	✓	—	—
Industrial Piping	✓	✓	—	—	—	—	—	✓	✓
Millwright	✓	—	—	—	—	—	—	✓	✓
Controls	✓	✓	✓	✓	✓	✓	✓	—	—
Vacuum Services	✓	—	—	—	—	—	✓	—	—
Residential Plumbing Service	✓	—	—	—	—	—	—	—	—
Total capabilities	16 / 16	10 / 16	8 / 16	3 / 16	3 / 16	3 / 16	6 / 16	5 / 16	5 / 16

Three Statement Model- Driver Assumptions

Driver Assumptions

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E
<u>Income Statement</u>									
Total Addressable Market (m)	18,576	21,648	25,228	29,400	33,572	38,336	43,776	47,015	50,494
% Growth	14.2%	14.2%	14.2%	14.2%	14.2%	14.2%	14.2%	7.4%	7.4%
Revenue (k)	118	102	125	168	192	219	250	269	289
Market Share	0.64%	0.47%	0.50%	0.57%	0.57%	0.57%	0.57%	0.57%	0.57%
COGS & Revenue	75.7%	77.0%	74.9%	72.4%	72.4%	72.4%	72.4%	72.4%	72.4%
SG&A % Revenue	11.3%	13.7%	14.4%	11.5%	11.0%	10.5%	10.0%	9.5%	9.0%
Capex % Revenue	--	0.9%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%
D&A % Beginning PP&E	--	25.7%	26.3%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%
Interest Rate	--	2.1%	--	--					
<u>Balance Sheet</u>									
Days Sales Outstanding	81.1	77.9	75.7	87.2	87.2	87.2	87.2	87.2	87.2
Days Inventory Outstanding	2.6	2.	4.1	4.8	4.8	3.9	4.4	4.5	4.4
Days Payable Outstanding	30.6	25.6	21.8	27.7	27.7	25.7	25.7	26.7	26.5
Other receivables % Revenue	0.6%	0.7%	1.5%	1.1%	1.1%	1.1%	1.1%	1.1%	1.1%
Contract assets % Revenue	2.0%	1.6%	0.5%	1.1%	1.1%	1.1%	1.1%	1.1%	1.1%
Prepaid expenses % SG&A	4.2%	3.1%	1.7%	1.9%	1.9%	1.9%	1.9%	1.9%	1.9%
Accrued and withheld expenses % SG&A	4.5%	5.2%	4.3%	3.6%	3.6%	3.6%	3.6%	3.6%	3.6%
Contract liabilities % Revenue	3.3%	3.1%	3.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%

Three Statement Model- Income Statement

Income Statement

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E
Revenue	\$118,285	\$101,821	\$125,403	\$168,194	\$192,061	\$219,314	\$250,435	\$268,967	\$288,871
<i>% Growth</i>		(13.9%)	23.2%	34.1%	14.2%	14.2%	14.2%	7.4%	7.4%
Less: COGS (excl.D&A)	(89,528)	(78,440)	(93,980)	(121,710)	(138,981)	(158,703)	(181,222)	(194,633)	(209,036)
Gross Profit	\$28,757	\$23,381	\$31,424	\$46,484	\$53,080	\$60,612	\$69,212	\$74,334	\$79,835
<i>% Margin</i>	24.3%	23.0%	25.1%	27.6%	27.6%	27.6%	27.6%	27.6%	27.6%
Less: SG&A	(13,323)	(13,917)	(18,002)	(19,308)	(21,087)	(22,983)	(24,992)	(25,497)	(25,939)
Less: D&A	(973)	(1,043)	(1,043)	(982)	(1,253)	(1,535)	(1,836)	(2,162)	(2,472)
Less: Ammortization of Intangibles Writeup	--	--	--	--	(1,150)	(1,150)	(1,150)	(1,150)	(1,150)
EBIT	\$14,461	\$8,421	\$12,378	\$26,194	\$29,590	\$34,944	\$41,235	\$45,526	\$50,274
Less: Tax Expense	--	--	--	--	(\$4,314)	(\$5,814)	(\$7,453)	(\$8,542)	(\$9,802)
EBT	\$14,461	\$8,421	\$12,378	\$26,194	\$25,276	\$29,130	\$33,782	\$36,984	\$40,472
Less: Interest Income / (Expense)	(72)	(37)	(34)	101	(11,863)	(11,216)	(10,949)	(10,884)	(10,593)
Less: Other Income / (Expense)	201	1,603	8,020	2,350	(\$472)	(\$472)	(\$472)	(\$472)	(\$472)
Less: Gain / (Loss) on Sale of Assets	48	39	38	(1)	--	--	--	--	--
Net Income	\$14,638	\$10,025	\$20,403	\$28,644	\$12,941	\$17,441	\$22,360	\$25,627	\$29,406
Plus: Other	--	--	--	--	4,786	6,286	7,926	9,015	10,275
Plus: Interest (Income) / Expense	72	37	34	(101)	11,863	11,216	10,949	10,884	10,593
Plus: D&A	1,131	1,043	1,043	982	2,403	2,685	2,985	3,311	3,622
EBITDA	\$15,841	\$11,105	\$21,479	\$29,525	\$31,992	\$37,629	\$44,220	\$48,838	\$53,896
<i>% Margin</i>	13.4%	10.9%	17.1%	17.6%	16.7%	17.2%	17.7%	18.2%	18.7%

Three Statement Model- Balance Sheet

Balance Sheet

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E
Assets									
Cash & Equivalents	\$1,921	\$13,037	\$14,969	\$25,670	\$35,062	\$44,412	\$55,463	\$68,730	\$89,346
Accounts Receivable (net)	\$26,294	\$21,731	\$26,004	\$40,166	\$45,866	\$52,374	\$59,806	\$64,232	\$68,985
Employee accounts receivable	\$109	\$120	\$151	\$96	--	--	--	--	--
Other receivables	\$760	\$747	\$1,864	\$1,863	\$2,127	\$2,429	\$2,774	\$2,979	\$3,200
Inventory	\$637	\$440	\$1,045	\$1,605	\$1,833	\$1,710	\$2,187	\$2,395	\$2,526
Intercompany/related party	(\$1,059)	(\$890)	\$3,243	\$5,597	--	--	--	--	--
Contract assets	\$2,315	\$1,652	\$590	\$1,861	\$2,125	\$2,427	\$2,771	\$2,976	\$3,197
Prepaid expenses	\$566	\$431	\$307	\$375	\$409	\$446	\$485	\$495	\$503
Total Current Assets	\$31,543	\$37,268	\$48,174	\$77,233	\$87,423	\$103,799	\$123,486	\$141,808	\$167,757
PP&E Net	\$4,059	\$3,966	\$4,715	\$6,018	\$7,373	\$8,817	\$10,382	\$11,873	\$13,324
Other Assets	\$2,251	\$2,138	\$2,024	\$178,667	\$177,045	\$175,423	\$173,801	\$172,178	\$170,556
Total Assets	\$37,853	\$43,372	\$54,913	\$261,917	\$271,841	\$288,038	\$307,669	\$325,859	\$351,637
Liabilities									
Accounts payable	\$7,497	\$5,505	\$5,610	\$9,238	\$10,549	\$11,176	\$12,773	\$14,243	\$15,154
Accrued and withheld expenses	\$595	\$726	\$779	\$701	\$766	\$835	\$908	\$926	\$942
Current portion of long-term debt	\$225	\$201	\$43	\$46	\$46	\$46	\$46	\$46	\$46
Notes payable - PPP	--	\$4,416	\$1,968	\$118,100	\$112,765	\$109,709	\$103,994	\$94,401	\$89,107
Contract liabilities	\$3,930	\$3,156	\$3,961	\$8,666	\$9,896	\$11,300	\$12,903	\$13,858	\$14,884
Total Current Liabilities	\$12,247	\$14,003	\$12,361	\$136,752	\$134,022	\$133,065	\$130,624	\$123,474	\$120,133
Non-current Liabilities	4,495	4,374	3,114	666	666	666	666	666	666
Deferred Tax Liability	--	--	--	4,311	4,024	3,736	3,449	3,161	2,874
Total Liabilities	\$16,742	\$18,377	\$15,475	\$141,729	\$138,712	\$137,468	\$134,738	\$127,301	\$123,673
Stockholders' Equity	21,111	24,995	39,438	120,188	133,129	150,571	172,931	198,558	227,965
Total Liabilities & Stockholder's Equity	\$37,853	\$43,372	\$54,913	\$261,917	\$271,841	\$288,038	\$307,669	\$325,859	\$351,637
Balance Check	--	--	--	--	--	--	--	--	--

Three Statement Model- Cash Flow Statement

Cash Flow Statement

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E
<u>Operating Activities</u>									
Net Income	\$14,638	\$10,025	\$20,403	\$28,644	\$12,941	\$17,441	\$22,360	\$25,627	\$29,406
Plus: D&A	\$973	\$1,043	\$1,043	\$982	1,253	1,535	1,836	2,162	2,472
Plus: Other Non-cash Expenses	--	--	--	--	5,320	5,859	6,469	7,163	7,949
Less: (Gain) / Loss on Sale of Assets	(\$48)	(\$39)	(\$38)	\$1	--	--	--	--	--
Less: (Increase) / Decrease in NWC	--	\$2,755	(\$8,011)	(\$10,102)	\$1,807	(\$4,927)	(\$5,363)	(\$2,611)	(\$3,381)
Cash Flow from Operatoins		\$13,784	\$13,397	\$19,525	\$21,322	\$19,909	\$25,302	\$32,341	\$36,448
<u>Investing Activities</u>									
Less: Capex		(\$951)	(\$1,792)	(\$2,284)	(2,609)	(2,979)	(3,401)	(3,653)	(3,923)
Plus: Other Source / (Use) of Investing		(\$1,604)	\$1,795	(\$6,179)	--	--	--	--	--
Cash Flow from Investing		(\$2,555)	\$3	(\$8,464)	(\$2,609)	(\$2,979)	(\$3,401)	(\$3,653)	(\$3,923)
<u>Financing Activities</u>									
Plus: Issuance / (Repayment) of Debt		\$4,392	(\$2,606)	(\$1,965)	(9,321)	(7,580)	(10,850)	(15,421)	(11,909)
Less: Dividends		(\$4,506)	(\$8,862)	(\$8,395)	--	--	--	--	--
Cash Flow from Financing		(\$114)	(\$11,468)	(\$10,360)	(\$9,321)	(\$7,580)	(\$10,850)	(\$15,421)	(\$11,909)
Net Change In Cash		\$11,116	\$1,932	\$702	\$9,392	\$9,350	\$11,051	\$13,267	\$20,615
<u>PP&E</u>									
Beginning PP&E		4,059	3,966	4,715	6,018	7,373	8,817	10,382	11,873
Plus: Capex		951	1,792	2,284	2,609	2,979	3,401	3,653	3,923
Less: D&A		(1,043)	(1,043)	(982)	(1,253)	(1,535)	(1,836)	(2,162)	(2,472)
Ending PP&E		\$3,966	\$4,715	\$6,018	\$7,373	\$8,817	\$10,382	\$11,873	\$13,324

Total Addressable Market Build- Sections 1 & 2

Section 1: Market Size Anchors

	2022A (\$mm)
TAM — US MEP Services	\$29,400
SE Share of US Non-Residential Construction	15.0%
SAM — Southeast US MEP Services	\$4,410
 SOM — Alpha 2022A Revenue	 \$168
Alpha's 2022A Share of SAM	3.8%

Section 2: Scenario Inputs (every value links to existing model cell)

	Bear	Base	Bull
Alpha Revenue CAGR (2022A → 2027E)	2.5%	11.3%	12.5%
2027E EBITDA Margin	12.5%	18.7%	18.7%

Section 3: Alpha Revenue & EBITDA by Case (2022A → 2027E)

	2022A	2023E	2024E	2025E	2026E	2027E
BEAR — Revenue	\$168	\$172	\$177	\$181	\$186	\$190
EBITDA (at bear margin)	\$21	\$21	\$22	\$23	\$23	\$24
 BASE — Revenue (LBO link)	\$168	\$192	\$219	\$250	\$269	\$288
EBITDA (LBO link)	\$30	\$32	\$38	\$44	\$49	\$54
 BULL — Revenue	\$168	\$189	\$213	\$239	\$269	\$302
EBITDA (at bull margin)	\$31	\$35	\$40	\$45	\$50	\$56

Total Addressable Market Build- Sections 3 & 4

Section 3: Alpha Revenue & EBITDA by Case (2022A → 2027E)

	2022A	2023E	2024E	2025E	2026E	2027E
BEAR — Revenue	\$168	\$172	\$177	\$181	\$186	\$190
EBITDA (at bear margin)	\$21	\$21	\$22	\$23	\$23	\$24
BASE — Revenue (LBO link)	\$168	\$192	\$219	\$250	\$269	\$289
EBITDA (LBO link)	\$30	\$32	\$38	\$44	\$49	\$54
BULL — Revenue	\$168	\$189	\$213	\$239	\$269	\$302
EBITDA (at bull margin)	\$31	\$35	\$40	\$45	\$50	\$56

Section 4: 2027E Summary Output

	Bear	Base	Bull
2027E Revenue (\$mm)	\$190	\$289	\$302
2027E EBITDA (\$mm)	\$24	\$54	\$56
5-Yr Revenue CAGR	2.5%	11.4%	12.5%
EBITDA Margin	12.5%	18.7%	18.7%
Implied 2027E SAM Share	2.5%	3.8%	4.0%

Discounted Cash Flow Analysis- Financial Forecast & WACC Buildup

Financial Forecast

	2022A	2023E	2024E	2025E	2026E	2027E
Revenue	\$168,194	\$192,061	\$219,314	\$250,435	\$268,967	\$288,871
% Growth		14.2%	14.2%	14.2%	7.4%	7.4%
Less: COGS	(\$121,710)	(\$138,981)	(\$158,703)	(\$181,222)	(\$194,633)	(\$209,036)
Gross Profit	\$46,484	\$53,080	\$60,612	\$69,212	\$74,334	\$79,835
% Margin	27.6%	27.6%	27.6%	27.6%	27.6%	27.6%
Less: SG&A	(19,308)	(13,917)	(18,002)	(19,308)	(21,087)	(22,983)
EBITDA	\$27,176	\$39,163	\$42,610	\$49,905	\$53,247	\$56,852
% Margin	16.2%	20.4%	19.4%	19.9%	19.8%	19.7%
Less: D&A	(982)	(1,253)	(1,535)	(1,836)	(2,162)	(2,472)
EBIT	\$26,194	\$37,910	\$41,074	\$48,069	\$51,085	\$54,380
Less: Tax Expense	\$0	\$0	\$0	\$0	\$0	\$0
NOPAT	\$26,194	\$37,910	\$41,074	\$48,069	\$51,085	\$54,380
Plus: D&A	982	1,253	1,535	1,836	2,162	2,472
Less: Capex	(2,284)	(2,609)	(2,979)	(3,401)	(3,653)	(3,923)
Less: (Increase) / Decrease in NWC	1,807	(4,927)	(5,363)	(2,611)	(3,381)	-
Unlevered Free Cash Flow	\$26,699	\$31,628	\$34,267	\$43,893	\$46,213	\$52,928
Mid-year Conversion		0.5	1.5	2.5	3.5	4.5
Discount Factor		0.95	0.86	0.77	0.70	0.63
Pv of UFCF		\$30,040	\$29,361	\$33,927	\$32,225	\$33,294

WACC Buildup

<u>Cost of Debt</u>		<u>Company</u>	<u>L Beta</u>	<u>Debt</u>	<u>Equity</u>	<u>U Beta</u>
Risk-Free Rate	4.278%	Limbach Holdings, Inc.	1.36	\$ 36	\$ 1,015	1.31
Credit Spread	+450 bps	Installed Building Products, Inc	1.22	988	7,663	1.08
		Primoris Services Corporatoin	1.44	470	8,585	1.37
Pre-Tax Cost of Debt	8.78%	MYR Group Inc	1.42	59	4,724	1.40
Cost of Debt	6.58%	IES Holdings, Inc.	1.49	--	10,529	1.49
		Median	1.42	59.00	7,663.10	1.37
<u>Cost of Equity</u>			<u>U Beta</u>	<u>Debt</u>	<u>Equity</u>	<u>L Beta</u>
Risk-Free Rate	4.278%	Alpha Inc.	1.37	\$ 11,740	\$ 53,482	1.66
Beta	1.66					
Equity Risk Premium	4.51%					
Cost of Equity	11.79%					
<u>WACC</u>						
% Debt	18%					
Cost of Debt	6.58%					
% Equity	82%					
Cost of Equity	11.79%					
WACC	10.85%					

Discounted Cash Flow Analysis- Terminal Value, EV to EQ, & Sensitivity Analysis

Terminal Value

Perpetuity in Growth

Growth Rate	2.5%
WACC	10.85%

Terminal Value \$649,692

Pv of TV \$350,174

Pv of UFCF \$158,848

Enterprise Value \$509,022

Implied Enterprise Value \$509,022

Less: Notes Payable	--
Less: Curr Portion LT Debt	(46)
Less: Non-current Liabilities	(3,028)
Less: Contract Liabilities	(8,666)
Plus: Cash & Equivalents	15,670

Implied Equity Value \$512,953

Exit Multiple

Adj Median Peer Multiple 11.9x

EBITDA \$56,852

Terminal Value \$677,216

Pv of TV \$365,009

Pv of UFCF \$158,848

Enterprise Value \$523,857

Implied Enterprise Value \$523,857

Less: Notes Payable	--
Less: Curr Portion LT Debt	(46)
Less: Non-current Liabilities	(3,028)
Less: Contract Liabilities	(8,666)
Plus: Cash & Equivalents	15,670

Implied Equity Value \$527,788

Sensitivity Tables

Growth Rate

	Growth Rate				
WACC	2.0%	2.3%	2.5%	2.8%	3.0%
10.5%	516,174	527,792	540,140	553,291	567,324
10.7%	503,583	514,563	526,216	538,606	551,806
10.9%	491,580	501,967	512,977	524,666	537,100
11.1%	480,124	489,962	500,375	511,416	523,142
11.3%	469,180	478,507	488,367	498,808	509,880

(x) Exit Multiple

	(x) Exit Multiple				
WACC	10.9x	11.4x	11.9x	12.4x	12.9x
9.6%	525,004	541,405	557,805	574,205	590,606
9.8%	520,347	536,569	552,791	569,013	585,235
10.0%	515,746	531,791	547,837	563,883	579,929
10.2%	511,199	527,070	542,942	558,814	574,686
10.4%	506,705	522,405	538,105	553,805	569,505

Comparable Companies Analysis- Statistics and Valuation Statistics

Statistics

Company	Share	Diluted	Equity			Preferred		Enterprise		Revenue			EBITDA			Net Income		
	Price	Shares	Value	Cash	Debt	Stock	Other	Value		FY 24	FY 25	FY 26	FY 24	FY 25	FY 26	FY 24	FY 25	FY 26
Limbach Holdings, Inc	\$ 77.41	12.1	\$935	(11)	36	-	-	\$982		519	647	743	64	82	91	31	39	44
Installed Building Products, Inc	\$ 257.55	27.2	\$7,005	(322)	1,087	-	-	\$8,414		2,941	2,971	3,007	514	519	521	311	313	302
Primoris Services Corporation	\$ 134.40	54.8	\$7,365	(541)	470	-	-	\$8,376		6,367	7,575	8,084	435	531	570	181	275	304
MYR Group Inc	\$ 267.10	15.7	\$4,193	(150)	59	-	(3)	\$4,399		3,362	3,658	4,004	118	233	277	30	118	144
IES Holdings, Inc	\$ 441.72	20.1	\$8,879	(259)	-	-	(64)	\$9,073			3,372	4,039		439	516		303	355
Minimum:	77.41	12.1	\$935					\$982		519	647	743	64	82	91	30	39	44
25th Percentile:	105.91	13.9	\$2,564					\$2,691		1,124	1,809	1,875	77	157	184	30	79	94
Median	257.55	20.1	\$7,005					\$8,376		3,152	3,372	4,004	277	439	516	106	275	302
75th Percentile:	354.41	41.0	\$8,122					\$8,744		5,616	5,617	6,062	494	525	546	279	308	330
Maximum:	441.72	54.8	\$8,879					\$9,073		6,367	7,575	8,084	514	531	570	311	313	355

									FY 20	FY 21	FY 22	FY 20	FY 21	FY 22	FY 20	FY 21	FY 22
Alpha	--	--	--	--	--	--	--	--	118	102	125	11	16	29	10	20	29

Valuation Statistics

Company	Equity	Enterprise	EV / Revenue			EV / EBITDA			P/E		
	Value	Value	FY 24	FY 25	FY 26	FY 24	FY 25	FY 26	FY 24	FY 25	FY 26
Limbach Holdings, Inc	\$935	\$982	1.9x	1.5x	1.3x	15.4x	12.0x	10.7x	30.3x	23.9x	21.1x
Installed Building Products, Inc	\$7,005	\$8,414	2.9x	2.8x	2.8x	16.4x	16.2x	16.1x	22.5x	22.4x	23.2x
Primoris Services Corporation	\$7,365	\$8,376	1.3x	1.1x	1.0x	19.3x	15.8x	14.7x	40.7x	26.8x	24.2x
MYR Group Inc	\$4,193	\$4,399	1.3x	1.2x	1.1x	37.3x	18.9x	15.9x	15.1x	139.8x	29.1x
IES Holdings, Inc	\$8,879	\$9,073	--	2.7x	2.2x	--	20.7x	17.6x	--	29.3x	25.0x
Minimum:	\$935	\$982	--	1.1x	1.0x	--	12.0x	10.7x	--	22.4x	21.1x
25th Percentile:	\$2,564	\$2,691	0.7x	1.2x	1.1x	7.7x	13.9x	12.7x	7.6x	23.1x	22.1x
Median	\$7,005	\$8,376	1.3x	1.5x	1.3x	16.4x	16.2x	15.9x	22.5x	26.8x	24.2x
75th Percentile:	\$8,122	\$8,744	2.4x	2.8x	2.5x	28.3x	19.8x	16.9x	35.5x	84.5x	27.1x
Maximum:	\$8,879	\$9,073	2.9x	2.8x	2.8x	37.3x	20.7x	17.6x	40.7x	139.8x	29.1x

Comparable Companies Analysis- Valuation Summary

Valuation Summary	Valuation Multiples					Alpha Figures	Implied Enterprise / Equity Value				
	Minimum	25th	Median	75th	Maximum		Minimum	25th	Median	75th	Maximum
LFY EV/Revenue	--	0.7x	1.3x	2.4x	2.9x	\$118	-	77	156	281	338
CFY EV/Revenue	1.1x	1.2x	1.5x	2.8x	2.8x	\$102	113	118	155	281	288
NFY EV/Revenue	1.0x	1.1x	1.3x	2.5x	2.8x	\$125	130	134	166	316	351
LFY EV/EBITDA	--	7.7x	16.4x	28.3x	37.3x	\$11	-	85	180	311	410
CFY EV/EBITDA	12.0x	13.9x	16.2x	19.8x	20.7x	\$16	187	216	252	308	322
NFY EV/EBITDA	10.7x	12.7x	15.9x	16.9x	17.6x	\$29	309	366	456	485	505
CFY P/E	--	7.6x	22.5x	35.5x	40.7x	\$10	-	76	226	356	408
NFY P/E	22.4x	23.1x	26.8x	84.5x	139.8x	\$20	457	472	546	1,725	2,852
LFY P/E	21.1x	22.1x	24.2x	27.1x	29.1x	\$29	603	634	694	775	834

	FY 20	FY 21	FY 22
Implied EBITDA Multiple (x)	16.4x	16.2x	15.9x
Less: Size Discount	25%	25%	25%
Adj EBITDA Multiple (x)	12.3x	12.2x	11.9x
Implied Enterprise Value	\$135	\$189	\$342

Implied Enterprise Value:	\$342,313
Less: Notes Payable	--
Less: Curr Portion LT Debt	(46)
Less: Non-current Liabilities	(3,028)
Less: Contract Liabilities	(8,666)
Plus: Cash & Equivalents	15,670
Implied Equity Value:	\$346,243

Precedent Transactions Analysis

Transactions

Target	Acquirer	Date	Value	LTM Revenue	LTM EBITDA	EV / Revenue	EV / EBITDA	Toggle 0 / 1
Miller Electric Company	EMCOR Group	Jan-25	\$865	805	80	1.1x	10.8x	1
Consolidated Mechanical	Limbach Holdings	Dec-24	\$23	23	4	1.0x	5.8x	1
Industrial Air	Limbach Holdings	Nov-23	\$14	30	4	0.5x	3.4x	1
Dynamic Systems	Quanta Services	Jul-25	\$1,350	1,050	160	1.3x	8.4x	1
The Bowers Group	Legence	Nov-25	\$475	767	72	0.6x	6.6x	1
Kent Island Mechanical	Limbach Holdings	Aug-24	\$15	30	4	0.5x	3.8x	1
Power Solutions	Dycom Industries	Nov-25	\$1,950	1,000	160	2.0x	12.2x	1
CEC Facilities	Sterling Infrastructure	Jun-25	\$505	400	53	1.3x	9.5x	1

Minimum	\$14	23	4	0.5x	3.4x
25th Percentile	\$17	30	4	0.5x	4.3x
Median	\$490	584	63	1.0x	7.5x
75th Percentile	\$1,229	951	140	1.3x	10.5x
Maximum	\$1,950	1,050	160	2.0x	12.2x

Valuation Summary	Valuation Multiples					Alpha Figures	Implied Enterprise Value				
	Minimum	25th	Median	75th	Maximum		Minimum	25th	Median	75th	Maximum
EV / Revenue	0.5x	0.5x	1.0x	1.3x	2.0x	\$168	76	89	174	215	328
EV / EBITDA	3.4x	4.3x	7.5x	10.5x	12.2x	\$27	92	115	204	285	331

Implied Enterprise Value:	\$204,292
Less: Notes Payable	--
Less: Curr Portion LT Debt	(46)
Less: Non-current Liabilities	(3,028)
Less: Contract Liabilities	(8,666)
Plus: Cash & Equivalents	15,670
Implied Equity Value:	\$208,222

SAM Share Dynamics

The SAM Itself Is Growing Rapidly

SE non-residential construction grew 8.3% YoY in 2023 vs. the national average. The SAM expands from ~\$4.4B today to ~\$7.6B by 2027E. Alpha maintaining ~3.8% of a much larger market yields \$289M in revenue — a 72% absolute increase.

The denominator is expanding — that's the point.

Absolute Dollars Drive Returns, Not Ratios

Investors are paid on dollars, not percentages. Base case revenue grows +72% (\$168M to \$289M) and EBITDA +83% (\$29.5M to \$53.9M). These are the figures that underpin the 24% IRR and 2.9x MoM returns.

Returns are driven by EBITDA growth, not share.

Fragmentation Fuels the Roll-Up Thesis

Even at the bull case 4.0%, over 96% of the SE MEP market remains fragmented. This is the opportunity. Flat or declining SAM share simply means more smaller competitors available for acquisition at attractive multiples.

Low share = maximum roll-up runway.

Conservative Base Case; Share Gain Is Pure Upside

The base case assumes flat SAM share — a deliberately conservative posture. Any organic share gain or bolt-on acquisition flows directly to upside, as reflected in the bull case's 4.0% share and \$53M in EBITDA.

Base case is the floor, not the ceiling.

KEY TAKEAWAY: Alpha grows revenue +72% and EBITDA +83% in the base case while the SE MEP market expands beneath it — flat SAM share in a growing market is a strong outcome, not a concern.

Aging Infrastructure Demand



\$131M

Revenue Already from Retrofit

78% of FY2022 revenue (\$131M) is retrofit, replacement, and service work — not speculation. Alpha is capturing this demand today.



~\$40M

School District Backlog

Three separate signed school district contracts in current backlog: \$13.6M Phase I, \$8.1M Phase II, and \$17.8M ESSER — all aging building retrofits.



3x

Backlog Growth Since 2019

Plumbing backlog grew from \$27.9M (2019) to \$78.8M (2022) — a near-tripling driven by aging infrastructure retrofit demand already arriving.



\$17.8M

ESSER Federal School Win

Alpha won an \$17.8M contract under the federal ESSER program — money specifically allocated to upgrade aging school infrastructure.



93%

Direct-to-Owner in Services

Services division derives 93% of revenue direct-to-owner. Building owners call Alpha directly for aging system repairs — no middleman.



PM

First-Mover on Replacement

Alpha's PM agreements give technicians visibility into system age before owners know it's failing — positioning Alpha as the sole-source bidder on replacement work.

**Alpha Is Already
Capturing This
Demand**

Aging infrastructure isn't a future opportunity — it's already in Alpha's revenue, backlog, and customer base.

78%

of FY2022 revenue is already retrofit, replacement & service work